

SaaS Metrics & Unit Economics Cheat Sheet

1. Core Subscription Metrics

Metric	Formula	Definition & Context
MRR (Monthly Recurring Revenue)	$Active\ Customers \times ARPU$	Predictable monthly revenue. Excludes one-time fees.
ARR (Annual Recurring Revenue)	$MRR \times 12$	The annualized run-rate of the business.
ARPU / ARPA (Avg. Revenue Per User/Acct)	$Total\ MRR / Total\ Customers$	The average value of a single account per month.
Gross Churn (Customer)	$(Lost\ Customers / Starting\ Customers) \times 100$	The rate at which people leave. Target: < 5% monthly for SMB, < 1% for Enterprise.
Net Revenue Churn	$(Lost\ MRR - Expansion\ MRR) / Starting\ MRR$	The gold standard. If negative, your existing base grows without new sales.

2. Unit Economics & Efficiency

Customer Acquisition Cost (CAC)

The total cost to earn one new customer.

$$CAC = (Total\ Sales + Marketing\ Spend) / New\ Customers\ Acquired$$

Customer Lifetime Value (LTV)

The total profit expected from a customer relationship.

$$LTV = (ARPU \times \text{Gross Margin \%}) / \text{Monthly Churn Rate}$$

The Efficiency Ratios

Ratio	Formula	Benchmark
LTV : CAC	LTV / CAC	3:1 is healthy; 5:1 is exceptional.
CAC Payback	$CAC / (ARPU \times GM\%)$	< 12 Months is the target.

3. Marketing, Finance & Operations

Marketing	Channel CAC: Efficiency per source (e.g., Paid vs. SEO). MQL to SQL: Lead quality tracking through the funnel.
Finance	Burn Rate: Monthly cash outflow vs. inflow. Runway: Cash Balance / Monthly Net Burn. Gross Margin: Aim for 70-80% for high-growth SaaS.
Operations	NPS: Customer satisfaction (-100 to +100). Time to Value (TTV): Speed at which user reaches "Aha!" moment. CRC: Customer Retention Cost (Success/Support spend).

4. Mathematical Impact of Churn

Example: \$100 ARPU, 80% Margin, \$600 CAC.

- **At 2% Churn:** 50-month lifetime. **LTV = \$4,000** (6.6x CAC).
- **At 4% Churn:** 25-month lifetime. **LTV = \$2,000** (3.3x CAC).

Observation: Doubling churn cuts company value by 50% but does NOT change CAC Payback time.